
Credit Policy Recommendation Report

1. Executive summary

This review covers every loan originated between January 2023 and December 2025: 39,913 loans to roughly 24,000 borrowers, totalling Rs 377.5 crore of disbursements across personal loans, BNPL, and SME working capital, observed through a March 2026 performance snapshot. The headline is uncomfortable but fixable. The book is growing well and pricing looks healthy on paper, yet the portfolio's risk-adjusted contribution margin is only 1.42% of disbursed value, because 13.7% of disbursed value has ever reached 90+ days past due and gross credit losses have consumed Rs 22.8 crore.

Three findings drive that outcome. First, losses are highly concentrated: two borrower segments that we can identify at application — high-volatility gig and informal-income borrowers, and stressed subprime borrowers — hold 11.6% of the book but account for 24.5% of all credit losses, and both are negative-margin even at our highest pricing. Second, the growth engine is adversely selected. The DSA/aggregator channel has grown from 23% to 42% of origination value over six half-year cohorts; it carries our highest acquisition cost, our fastest approval turnaround, and a 19.0% value default rate against 9.0% for organic borrowers. It destroys roughly 2.7 paise per rupee disbursed. Third, our pricing does not track our risk. Average APR varies by only five percentage points across segments whose default rates vary tenfold, so safe borrowers subsidise risky ones and competitors can cherry-pick our best customers.

We recommend a three-part policy package. Exit a tightly defined “red zone” of aggregator-sourced, low-grade, financially volatile borrowers (8.5% of origination value, 22% of all losses). Reprice the middle of the book by widening grade-based pricing by about 200 basis points where risk justifies it. And operationalise a behaviour-based early warning system that, in backtesting, flagged 77% of eventual defaulters before they defaulted, with a median lead of two months. Applied together, and under assumptions stated in Section 7, the package takes the modelled portfolio default rate from 13.7% to roughly 9.4% of value and lifts risk-adjusted contribution margin from 1.42% to approximately 3.9% — about Rs 9 crore of annual value on the current book — at the cost of roughly 8.5% of origination volume. We believe this is volume the company is better off losing.

2. How the evidence base was built

In line with the project brief, we designed and generated a synthetic dataset that mirrors a realistic digital lending ecosystem, then ran the full analysis on it as if it were production data. The data covers seven linked areas: customer profile (geography across metro, tier-2 and tier-3; income proxy; employment type; bureau band including thin-file), loan and product terms (product, ticket, tenure, APR, origination risk grade from a deliberately imperfect scorecard), monthly repayment behaviour (on-time, partial, 30-DPD, 90+ events), behavioural signals of the account-aggregator type (cash-flow consistency, balance volatility, spending shocks), acquisition (channel, cost of acquisition, approval turnaround), a thirty-six month time dimension, and outcomes (default flag, losses, and a value proxy).

The generator embeds the causal structure the brief specifies — weaker profiles default more, volatility raises delinquency, payment behaviour deteriorates before default, cheap fast growth carries adverse selection, and newer cohorts behave differently — but with realistic noise, so none of these relationships is visible without analysis. Every number in this report is computed from that data, not assumed. The one caveat that matters for interpretation: margin figures are contribution margins after credit losses, acquisition cost and direct servicing cost, but before cost of funds and corporate overhead. Relative comparisons between segments, channels and products are unaffected by this choice.

3. Where the risk actually sits

We segmented borrowers on three application-time attributes: bureau standing, employment type, and cash-flow volatility from bank-statement data. Six segments emerge with materially different behaviour. The table below shows each segment's share of disbursed value, value-weighted ever-90+ rate, contribution margin, and average pricing.

Segment	Share of book	Default (value)	Contribution margin	Avg APR
S1 Anchor Salaried Prime	18.6%	3.6%	+3.99%	19.9%
S2 Established Self-Employed	23.9%	8.8%	+5.46%	21.4%
S3 Stable New-to-Credit	17.0%	16.3%	−0.05%	23.1%
S4 Mid-Book Mixed	28.9%	16.5%	+0.80%	22.8%
S5 Volatile Gig & Informal	7.2%	24.5%	−5.65%	23.9%
S6 Stressed Subprime	4.4%	36.6%	−10.07%	24.9%

Three things stand out. The book's economic core is not the prime salaried segment but established self-employed borrowers, mostly on SME working capital: they accept higher pricing, default at a manageable 8.8%, and earn the portfolio's best margin. Second, the two volatile segments at the bottom are unprofitable at any pricing we currently charge — at a 36.6% value default rate, no plausible APR closes the gap, which makes S6 an approval problem rather than a pricing problem. Third, stable new-to-credit borrowers (S3) sit almost exactly at break-even, which makes them the segment where better underwriting data, not blanket tightening, has the highest payoff: within S3, volatility and channel separate profitable loans from losses far better than the bureau does, because by definition the bureau is silent on these borrowers.

4. The growth engine is adversely selected

Acquisition channel is the single strongest portfolio-level risk driver we found, and it interacts badly with our growth trajectory. The DSA/aggregator channel combines the highest acquisition cost (about Rs 3,200 per loan against Rs 450 for organic), the fastest approval turnaround (median under three hours), and the worst credit outcomes: 19.0% of aggregator-sourced value has reached 90+ DPD, against 12.9% for paid digital, 10.4% for partnership/embedded, and 9.0% for organic and repeat borrowers. Net of losses and acquisition cost, the aggregator book runs at −2.7% contribution margin — every rupee of that growth destroys value on average — while organic runs at +5.6%.

Channel	Share	CAC/loan	TAT	Default (value)	Margin
DSA / Aggregator	33.8%	Rs 3,196	2.6 h	19.0%	−2.7%
Digital Marketing	30.4%	Rs 2,303	6.0 h	12.9%	+2.1%
Organic / Repeat	26.0%	Rs 451	8.5 h	9.0%	+5.6%
Partnership / Embedded	9.9%	Rs 1,095	1.7 h	10.4%	+2.4%

The vintage view makes the trend explicit. Comparing like with like — defaults within the first six months on book, for cohorts old enough to measure — portfolio early-default rates have climbed from 8.8% for the 2023 H1 cohort to 12.0% for 2025 H2. Over the same period the aggregator share of origination value rose from 23% to 42%. Aggregator cohorts run six-month default rates of 15–17% in 2024–25, roughly double the organic channel's, and the gap is widening, which is the classic signature of adverse selection: partners are paid on volume and turnaround, and applicants declined elsewhere flow to the fastest approver. Speed itself is not the villain — the partnership channel is faster still and performs acceptably because the partner shares risk context — but speed purchased through volume-incentivised intermediaries is.

5. Product, ticket and tenure: what the book rewards

Cutting the book by product and ticket band identifies clear sweet spots and clear traps. SME working capital in the Rs 1–6 lakh range is the portfolio's engine, earning 3.2–3.9% margins on more than 48% of disbursed value; above Rs 6 lakh, default rises to 19.7% and margin thins to 1.9%, a concentration risk worth capping. Personal loans earn money in the Rs 60k–150k band at 12-month tenures (8.9% default, positive margin) but lose it at the extremes: tickets above Rs 150k default at 17.1%, and 36-month tenures default at 18.4% versus 8.9% at 12 months, turning margin negative. Small-ticket BNPL below Rs 8,000 is our most misunderstood product: its default rate is excellent (1.4%) but it loses 32 paise per rupee disbursed, because fixed acquisition and servicing costs swamp the fee income on a tiny, short-lived balance. That is a cost-structure problem, not a credit problem, and the fix is channel and ticket-floor design, not tighter approval.

Pricing is the second structural issue. Average APR spans only 19.9% to 24.9% from our safest to our riskiest segment, while value default rates span 3.6% to 36.6%. A five-point price range cannot absorb a thirty-three point loss range. The practical consequence runs in both directions: we over-charge S1 and S2 relative to their risk, inviting competitors to refinance our best borrowers away, and we under-charge S4 and S5 so heavily that growth there is self-defeating. Risk-based pricing exists in name — grades do carry premia — but the premia are compressed far below what observed loss rates justify.

6. Early warning: catching defaults before they happen

Deteriorating payment behaviour precedes default in this book by a usable margin, which means collections can move from reactive to preventive. We backtested a deliberately simple two-trigger rule on the monthly repayment panel, flagging an account when it makes partial payments in two of the last three months, or records any 30-DPD event. Simplicity is the point: the rule is explainable to the regulator, to collections agents, and to the customer.

Backtest results on the full 2023–25 panel: the rule flagged 77.2% of eventual defaulters before their default month, and 39.1% at least two months ahead, with a median lead time of two months. It flagged 14.4% of accounts that never defaulted — the workload cost — and 30.4% of all flagged accounts went on to default, a four-fold lift over the 7.5% base rate. In operating terms, a collections outreach list built from this rule concentrates one default in every three calls, instead of one in thirteen from undirected calling. We recommend a tiered response: a soft nudge and payment-restructure offer at first flag, a relationship-manager call within seven days for flagged accounts above Rs 1 lakh exposure, and a hold on top-up and cross-sell offers for all flagged accounts until they cure. The second flag within a quarter should also feed back into origination as a behavioural decline rule for repeat applicants.

7. Recommended policy package and projected impact

We propose three moves, sequenced over roughly two quarters, with impacts modelled on the current book.

1. **Exit the red zone (effective immediately).** Decline aggregator-sourced applications that are graded D or E and are either subprime on the bureau or above the volatility threshold on bank-statement data. This micro-segment is 8.5% of origination value and 5.0% of loan count, defaults at 35.6% of value, runs at –9.2% margin, and accounts for 22% of all credit losses. Removing it alone lifts portfolio margin from 1.42% to 2.42% and cuts the value default rate to 11.6%. Alongside, renegotiate aggregator contracts toward first-loss sharing or trail-based payouts, and cap the channel at 30% of monthly origination value.
2. **Reprice the amber middle (next repricing cycle).** Widen grade-based premia by approximately 200 basis points on C and D grades outside the red zone — about half the

book — bringing pricing meaningfully closer to observed loss rates, and use part of the headroom to sharpen pricing for S1/S2 retention and top-ups. Assuming 15% of affected volume is lost to repricing, modelled margin rises a further 40-plus basis points. Pair this with term discipline: cap new personal loans at Rs 150k and 24 months except for grade A/B repeat borrowers, set an Rs 8,000 BNPL ticket floor outside partner-subsidised programmes, and cap SME exposure above Rs 6 lakh pending collateralised variants.

3. **Operationalise early warning (60–90 days to stand up).** Deploy the two-trigger rule into collections with the tiered playbook above. If preventive outreach cures one quarter of flagged would-be defaulters — a deliberately conservative figure against industry pre-delinquency cure experience — the book saves roughly Rs 3.3 crore of credit losses annually at current scale.

The combined modelled impact, with each policy’s contribution shown separately:

Metric	Today	After red-zone exit	+ repricing	+ early warning
Value default rate (ever 90+)	13.7%	11.6%	11.6%	9.4%
Risk-adjusted contribution margin	1.42%	2.42%	2.84%	3.87%
Origination volume retained	100%	91.5%	~84%	~84%

Assumptions behind these figures. Loss-given-default of 70% on personal loans, 82% on BNPL and 58% on SME working capital; average outstanding balance at 55% of ticket; a 15% volume attrition response to a 200 bps price increase; a 25% cure rate on early-warning outreach; and margins measured before cost of funds. Each is defensible but none is certain, and the projections should be read as direction and order of magnitude rather than forecast.

The trade-offs deserve equal candour. The package surrenders roughly 8.5% of origination volume immediately and perhaps 16% in total, which will show in topline growth for two to three quarters before margin improvement compensates. Tightening on thin-file and informal-income borrowers carries a financial-inclusion and reputational dimension; we have deliberately targeted the volatility-and-channel intersection rather than thin-file status itself, and S3 remains fully open. Repricing risks adverse selection of its own if competitors hold prices, which is why we cap the increase at 200 bps and pair it with retention pricing for the best grades. And the early warning system creates a contact-volume cost — roughly one false flag for every seven good accounts per year — that collections capacity must absorb before benefits show.

8. What leadership should watch

Finally, the brief asks what senior leadership should monitor. We recommend a monthly one-page view built around six measures, each chosen because it moves before the P&L does: six-month-on-book vintage default rates by cohort and channel (the earliest clean read on origination quality); early-warning flag rate and flag-to-default conversion (the health of the middle book); channel-level risk-adjusted margin including acquisition cost (so growth is judged on value, not volume); red-zone share of new originations (policy adherence); roll rates from current to 30-DPD and 30 to 90 (collections effectiveness); and concentration of the top decile of exposures (tail risk in SME). Quarterly, the segment economics table in Section 3 should be refreshed end-to-end, because the most important number in this report is not any single default rate — it is the demonstration that risk, channel and pricing can be read together, in time to act. We are happy to walk the committee through the underlying data and to stress-test any of the assumptions above.